

Liquidity Sweep

— DEFINITION

What it is

A fast push **beyond an obvious high or low** that triggers the orders resting there, then reverses. The breakout isn't real — price only went there to collect liquidity before moving the opposite direction.

— THE MECHANIC

Why it happens

Retail stop-losses cluster just past clear levels. That pool of stops is **liquidity**. Large players need it filled to enter size, so price is driven into the pool, fills against the triggered stops, then turns.

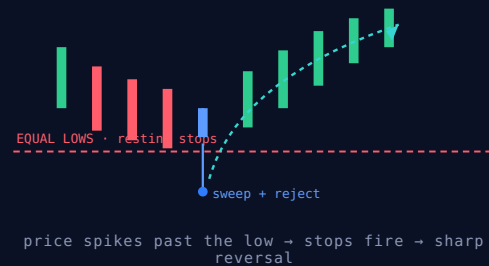
— WHERE LIQUIDITY RESTS

Hunt these levels

- ◆ **Equal highs / equal lows** — double tops & bottoms
- ◆ **Previous day high / low** (PDH / PDL)
- ◆ **Session highs / lows** — Asia & London ranges
- ◆ **Old swing points** & obvious trendlines
- ◆ **Round numbers** — psychological clusters

— ANATOMY

How it looks



— PLAYBOOK

Trading the sweep

- 1 **Mark** the liquidity pool before the session.
- 2 **Wait** for the spike + rejection inside a Kill Zone.
- 3 **Confirm** a shift in structure (BOS / CHoCH).
- 4 **Enter** on a return to the FVG or Order Block.
- 5 **Stop** beyond the wick; target opposing liquidity.

— KEY DISTINCTION

Sweep vs. real breakout

● Liquidity Sweep

Long wick past the level, closes back inside fast. No follow-through. Often into a Kill Zone. Reverses with a structure shift — the high-probability trade.

● True Breakout

Body closes decisively beyond the level and holds. Continuation candles follow. Retest accepts the new range. No snap-back — trend continues.